

Industrial CEOs Unplugged 2026

We were delighted to host Siemens Energy's CEO Dr. Christian Bruch at Industrial CEOs Unplugged. We viewed this as an upbeat presentation both on the trajectory of gas services order into 2027, and the current pricing dynamics in the industry. The discussion ranged from gas turbine market pricing, supply/demand, the Grid investment cycle, as well as the ongoing plans around portfolio transformation.

Key Highlights:

1. Gas turbine market demand - Siemens Energy recently upgraded their gas turbine market outlook to 110-120GW in their FYQ3 pre-close call (from 90-100 GW outlook outlined at their '25 CMD) to the end of the decade (2030). CEO Dr. Bruch confirmed this, with DCs now a distinct c. 40GW pillar alongside an 80GW traditional/utility base demand (e.g. Korean coal-to-gas, Taiwan nuclear replacement) and a further 20GW of "other" electricity-driven demand (AC load growth, country rebuilds, etc.). He talked optimistically about the pipeline for 1H27, with very limited concerns of seeing any sharper order correction in 2027 to below the long-term market outlook (110-120GW) annual levels. Siemens Energy also reiterated they have not seen any signs of double ordering or trading of slot reservations from data center customers from within their overall customer commitments.

2. Gas turbine pricing is intact and service economics to improve into 2030. Siemens Energy continues to see pricing on slot reservations agreements running ahead of current order levels. Pricing in the US was the strongest, and management noted that on certain new equipment orders they had seen margins rise to above the levels of service. However, it was too early to comment on whether Gas new equipment margins could rise above service margin levels, as it would be dictated by order price levels in the next three years, where Siemens Energy acknowledged they do not yet have clear visibility. **On the service margin opportunity**, the CEO highlighted that the mix shift to larger turbine frames in deliveries meant that these large frames would enter the service installed base post 2030 with meaningfully higher margins.

4. Gas Capacity developments and supply demand - CEO Dr. Bruch shared the priority on capacity was not to announce any major expansions of capacity, but instead to focus on trying to squeeze additional units out of the group's existing facilities. On supply/demand, they do not see any issues until 2030, and see the capacity expansions of GEV and MHI as controlled. In the longer-term, Siemens Energy reiterated their view that most of their data center customers would ultimately want to connect to the grid, and therefore larger Gas turbines continued to be a more compelling option (efficiency) to serve this demand than reciprocating engines. On lead times, Siemens Energy's lead times on large gas turbines remained ~4 years, while mid-sized turbines had reduced to ~2 years after the recent capacity

MORGAN STANLEY & CO. INTERNATIONAL PLC+
Max R Yates
Equity Analyst
Max.Yates@morganstanley.com+44 20 7425-1917
Sara Chemello
Research Associate
Sara.Chemello@morganstanley.com+44 20 7425-2931

Siemens Energy AG (ENR1n.DE, ENR GY)		
Capital Goods Germany		
Stock Rating	Overweight	
Industry View	In-Line	
Price target	€195.00	
Shr price, close (Sep 9, 2026)	€145.14	
52-Week Range	€191.66-87.40	
Mkt cap, curr (mn)	€105,465	
Net debt (09/26e) (mn)*	€(6,515)	
EV, curr (mn)*	€101,049	

* = GAAP or approximated based on GAAP

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expansions.

5. Grid is entering a new multi-regional investment cycle, with US and Middle East orders providing the next leg of upside - Dr. Bruch pointed to an aging (20-30yr) grid base in the US plus new electricity consumers as catalysts across Europe (e.g. interconnectors), the US (€4bn of FY26 DC-driven Grid orders, with a "new wave" expected), the Middle East (energy independence) and Asia (interconnection build-out). Driven by this, Siemens Energy is expanding their switch-gear and transformers capacity by 50% between 2026-2030. They will disclose new 2030 targets at their FY26 results on 11th of November but Dr. Bruch highlighted that he sees Grid business as a >€20bn revenue business beyond 2028, with incremental upside seen in grid automation/digital grid (sensors + software) as a lever to bring down electricity costs, though the segment remains heavily regulated.

6. Transformation of Industry (TOI) separation into a stand-alone entity continued, with a decision to be made around the middle of 2027 (calendar). Dr. Bruch clarified that Siemens Energy's is in the process of legally separating their TOI business to make it independent. This is because the division has a different customer base (more geared towards process industries rather than electrification), which will have lower margins in the long run. They continue to explore a range of options for the business including a potential spin off to existing shareholders, or a partial sale of a stake in the business. Siemens Energy want to retain a strong minority stake in the business.

Comments are our interpretation of what was said, and should not be regarded as verbatim quotes.

Valuation Methodology and Risks

Siemens Energy AG (ENR1n.DE)

Our price target is the average of two valuation methods: 1) a 2028 SOTP approach in which we benchmark Gas Services, Grid Technologies and Transformation of Industries against key peers such as GE Vernova, Mitsubishi and Hitachi. Our derived EV value is an average of applying 2028 EV/EBIT multiples (averaging out at 18x); and 2) a DCF valuation, assuming an 7.8% WACC and 2% terminal growth rate.

Risks to Upside

- Accelerated coal-to-gas transition, particularly in large markets such as China
- Higher than anticipated cost savings
- Favourable regulatory changes, e.g. on hydrogen and wind

Risks to Downside

- Timing delays in contract awards due to permitting processes, policy and other geopolitical factors
- Project risks, particularly on large generation projects and at SGRE
- Accelerated shift from coal to renewables vs coal to gas

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(as of August 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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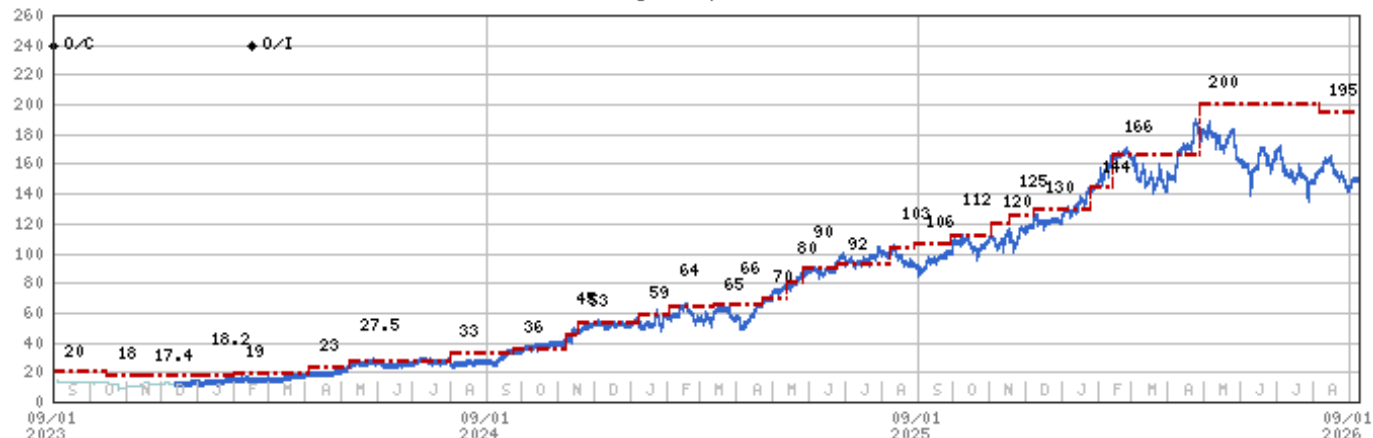
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Stock Price, Price Target and Rating History (See Rating Definitions)

Siemens Energy AG (ENR1n.DE) - As of 09/09/26 GMT in EUR
Industry : Capital Goods



Stock Rating History: 9/1/21 : O/C; 2/4/22 : E/C; 5/30/22 : NA/C; 4/3/23 : O/C; 2/16/24 : O/I

Price Target History: 8/4/21 : 38.9; 11/10/21 : 35.1; 1/13/22 : 32; 2/4/22 : 22.6; 4/5/22 : 22; 5/30/22 : NA; 4/3/23 : 33.2; 5/15/23 : 35.9; 8/18/23 : 20; 10/16/23 : 18; 11/16/23 : 17.4; 1/2/24 : 18.2; 2/1/24 : 19; 4/4/24 : 23; 5/8/24 : 27.5; 8/1/24 : 33; 9/24/24 : 36; 11/7/24 : 45; 11/18/24 : 53; 1/8/25 : 59; 2/3/25 : 64; 3/12/25 : 65; 3/27/25 : 66; 4/23/25 : 70; 5/13/25 : 80; 5/27/25 : 90; 6/25/25 : 92; 8/8/25 : 103; 8/29/25 : 106; 9/29/25 : 112; 11/3/25 : 120; 11/17/25 : 125; 12/8/25 : 130; 1/26/26 : 144; 2/13/26 : 166; 4/27/26 : 200; 8/6/26 : 195

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Capital Goods

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/09/2026)
Arthur Sitbon, CFA		
ITM Power (ITM.L)	O (04/29/2026)	109p
Luke Holbrook		
AutoStore Holdings Ltd-W/I (AUTO.OL)	E (08/15/2025)	NKr 15.52
Max R Yates		
ABB (ABBN.S)	E (12/09/2024)	SFr 78.32
Alfa Laval AB (ALFA.ST)	E (03/05/2026)	SKr 551.80
Alstom (ALSO.PA)	E (12/07/2022)	€15.85
Assa Abloy AB (ASSAb.ST)	E (03/16/2020)	SKr 341.70
Atlas Copco (ATCOa.ST)	O (12/08/2025)	SKr 204.10
Epiroc AB (EPIRa.ST)	O (03/12/2026)	SKr 263.80
GEA Group AG (G1AG.DE)	E (06/23/2026)	€64.05
Halma PLC (HLMA.L)	E (11/22/2018)	3,692p
KION Group AG (KGX.DE)	O (07/07/2026)	€46.07
Knorr Bremse AG (KBX.DE)	O (12/08/2025)	€102.40
Kone Oyj (KNEBV.HE)	U (12/09/2024)	€49.78
Legrand (LEGD.PA)	O (03/28/2024)	€140.35
Metso Corporation (METSO.HE)	E (12/07/2022)	€18.55
Prysmian SpA (PRY.MI)	++	€126.95
Rexel S.A. (RXL.PA)	O (12/09/2024)	€37.05
Rotork PLC (ROR.L)	++	484p
Sandvik (SAND.ST)	E (03/12/2026)	SKr 392.60
Schindler Holding AG (SCHPS)	E (12/08/2025)	SFr 251.20
Schneider Electric (SCHN.PA)	O (10/27/2025)	€289.70
Siemens (SIEGn.DE)	E (10/14/2025)	€264.40
Siemens Energy AG (ENR1n.DE)	O (04/03/2023)	€145.14
Signify NV (LIGHT.AS)	U (12/08/2025)	€15.37
SKF (SKFb.ST)	++	SKr 268.80
Spirax Group PLC (SPX.L)	O (12/09/2024)	7,005p

Vestas Wind Systems A/S (VWS.CO)	E (05/05/2020)	DKr 214.70
Wartsila Oyj Abp (WRT1V.HE)	U (03/03/2026)	€29.34
Weir Group PLC (WEIR.L)	E (05/12/2025)	2,788p

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

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